

PERSPECTIVE

HIMS, Inc.:

**Revolutionizing healthcare by
unleashing remote health assessment.**

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The American health system is inefficient and hostile to ordinary citizens. In this context, digital monitoring and telemedicine hold promises for improving health assessment. HIMS is the first digital native platform that provides patients with high quality health care from start-to-finish. The firm managed to build trust among young adults and to leverage recurring revenues from the sale of pharmaceuticals. However, regulatory compliance, competition, and cybersecurity still constitute potential threats to the sustainability of the company, emphasizing the need for it to innovate.

HIMS, personalized telehealth.

Hims & Hers Health, Inc. (referred as HIMS) is a telehealth company that offers personalized health/wellness products and services. This San Francisco based firm was founded in 2017 and is publicly traded since 2021 (current market cap estimated at \$2.2B).[1] HIMS fundamentally focuses on providing solutions to support stigmatized medical conditions, including sexual health, mental wellness, contraception, and hair loss.

The firm has developed a telehealth platform that engages and connects patient care across its different service lines. Concretely, HIMS offers a user-friendly and discreet platform that enables customers to get medical consultations, medical prescriptions, over-the-counter products, and wellness supplements.

The organization adopted a supplier-to-consumer model and generates revenue

through the sale of health products, subscription-based services and professional telemedicine supports. HIMS' experience is currently exclusively available in the USA, and particularly speaks to millennial generations.

The US healthcare system is broke.

In 2021, the total US healthcare expenses reached \$ 4.3 trillion,[2] which makes it one of the last trillion-dollar market yet to be disrupted. Despite massive spendings, the current healthcare system in the United States fails to meet the needs of the average population.[3] As a result, USA is trailing in terms of health indicators compared to other developed countries.[4]

Amongst several problems, there is a lack of efficiency and information in the current system translating in a hostile environment for patients. In this context, 1 out of 4 ER interventions in the country directly

results from the inaccessibility to routine doctor visits.[5] In a country where it takes almost a month to get a first-time appointment with a doctor,[6] many Americans end up living without the care they need. In this context, 3 out of 4 millennials relate that they would rather search for medical advice online than consult a health professional in person.[7].

The future relies on remote health.

With the emerging demand in convenient health diagnostic, remote assessment might constitute a promising solution. Leveraged by digital health monitoring, telemedicine platform and video consultation, it enables health professionals to evaluate and treat individuals at distance.

Considering the ageing populations and the acquaintance of younger generations with digital devices, telehealth has the potential to enhance future access to healthcare, particularly for individuals with limited mobility. In addition, regular remote assessment improves early detection and intervention, leading to better management of chronic diseases. With advancing technologies, "remote health" is poised to integrate in common healthcare routine and to transform the way doctors and patients interact.

Connecting patients and building trust.

With its established telehealth platform, HIMS has proven core capabilities in connecting patients with health professionals and offering convenient access to medical consultations and prescriptions. The company's user-friendly app and website have made it particularly appreciated by millennials. This is a crucial strategy since more than 70% of the US population are Gen X or younger and will therefore constitute the biggest share of healthcare spendings in the future.

Moreover, the fact that around 80% of HIMS' users report seeking help for the very first time indicates that the firm managed to build trust within its community. These customers will likely remain loyal to the brand

and act as ambassadors, who will contribute to the organic growth of the company.

Attractive model and high scalability.

A large portion of HIMS' revenue comes from the sale of regularly prescribed pharmaceuticals. In addition, monthly subscriptions are available for numerous wellness products. This business model based on recurring revenue explains the striking gross margin set at ~80%.[8]

Moreover, in-house algorithms are designed to provide a hassle-free experience for both patients and providers. The latter have incidentally increased their willingness to deliver their services through telehealth since the Covid19 pandemic.[9]

HIMS' solution is easily scalable. As the platform is digital-native, new features can rapidly and seamlessly be integrated. This gives a non-negligible advantage in comparison to historic players who function on outdated back-end systems and thus are slower to deliver new offerings.

Increased reach to unlock HIMS' potential.

In the future, the company will have the opportunity to reinvest some of its earnings and leverage its existing infrastructures to scale up the range of health products and services offered to the customers. Through permanent diversification, HIMS' should be able to address a wider assortment of health issues and attract a broader customer base. Concretely, this could mean expanding in the field of chronic disease management or in real-time monitoring wearable devices.

Additionally, HIMS could develop new partnerships and licensing agreements to offer employee coverage for both corporates and SMBs. The firm could also benefit from the global telehealth trend to launch its solution in new geographical regions such as Australia or Europe.

Regulation, competition, and cybersecurity are challenges.

The regulatory and compliance evolution of the telehealth industry is a potential risk to HIMS' activities. Challenges linked to legal frameworks, privacy concerns, and reimbursement policies could greatly slow down their global expansion and limit their range of product offerings.

Moreover, the firm evolves in a highly competitive market and both established players and emerging startups are offering similar products and services. HIMS will need to constantly stand out through cutting edge user-experience and strong brand identity to capture market share and maintain profitability.

Considering that medical files are extremely valuable for hackers, cybersecurity is also an important risk for any organization dealing with patient information. A potential data breach would greatly impact customers, but also the firm's legal obligations and reputation. Ensuring digital security measures is expensive but critical to alleviate cyber risks. Therefore, HIMS should diligently invest in modern cybersecurity technologies and perform continuous monitoring to maintain the integrity and privacy of patient's records.

Overall, HIMS has proven to be at the forefront of the telemedicine revolution and was able to find a strong customer base in a health system that desperately lacks convenience. Nonetheless, the \$ 2.2 billion company will have to engage in constant innovation cycles and invest in robust cybersecurity measures to ensure its durability. With its scalable model and expansion opportunities, HIMS has the potential to globally transform the way healthcare is delivered to people around the world.

Innovation strategy proposal

With the aim of propelling the firm's future success, this innovation strategy proposal presents a forward-thinking roadmap for HIMS.

Short-term vision

In the near future (1 year), HIMS should focus on enriching its current product offerings, improving its customer engagement and testing the market for the implementation of cutting-edge technologies.

To gain deeper insight into customer current pain-points, the company should adopt a design thinking approach. This could involve leveraging the data collected by its platform to precisely map the user journey. This should allow to further identify the needs and preferences of consumers and pave the way for the development of user-centric improvements that will enhance the overall experience.

HIMS should also test the implementation of innovations such as wearable devices for remote monitoring. In this context, the firm should define a clear test objective and select pilot user groups for the testing phase. Stakeholders' feedback should iteratively contribute to gather insights and solve potentially critical issues. From collected KPIs, it will be possible to measure the concrete impact on current business practice and determine the feasibility and scalability of application.

Long-term vision

HIMS' long-term vision (4 years) should revolve around harnessing the power of artificial intelligence. Concretely, the organization should invest in research and development to implement AI-driven algorithms for personalized healthcare recommendations and predictive analytics. In the future, the healthcare platform should integrate algorithms to analyze patient data and medical records to provide tailored made healthcare plans for patients.

Moreover, natural language processing AI could be used as chatbot for medical assessments to complement telehealth consultations. Such algorithm could interactively engage with patients and gather information about their symptoms, worries and medical history. In some minor cases, it could even provide users with information about potential conditions, recommended next steps, and general medical advice. This could improve customer engagement and further leverage HIMS' core promise to enhance the accessibility to quality healthcare for everyone.

Overall, by processing large datasets and identifying patterns, the firm could proactively identify potential risks and act at an early stage. This approach ultimately reduces healthcare costs but more importantly enhances patient outcome.

Risk mitigation

HIMS should carry out scenario analysis to anticipate potential critical events that could slow down their growth. This involves assessing situations such as regulatory changes, market disruptions and technological advancements. By anticipating and preparing for such scenarios, the company could adapt its innovation strategy accordingly.

For instance, the firm should proactively develop strategies to comply with foreseen regulations while sustaining its competitive edge. Likewise, constant monitoring of emerging advancements and market disturbances is essential for HIMS to grasp new opportunities and further enhance its competitive advantage.

Innovation tools and methodologies

Various tools and methodologies could be used to propel HIMS' innovation strategy. Among customer journey mapping and design thinking, agile development approaches constitute a great way to iterate rapidly and respond to market demands efficiently. Compared to traditional waterfall models, agile methodologies prioritize gradual progress and continuous improvement, thus allowing faster feedback loops and empowering teams to adapt to guidelines.

Adopting such approach, will enhance HIMS' capacity to deliver innovative solution efficiently and will further enhance its competitive edge.

Furthermore, the firm should exploit the concept of "open innovation" by joining forces with academic institutions, research organizations and healthcare startups. By adopting knowledge-sharing initiatives, the company will broaden its perspectives, expertise, and ideas.

In this context, working with universities to perform clinical trials for new digital health offerings could ensure the efficacy and safety of HIMS' solution and contributes to building trust and credibility among customers and healthcare professionals.

Overall, by putting in place the mentioned visions and measures, HIMS could position itself as a leader in the remote health industry. The firm has the potential to revolutionize healthcare delivery and enhance patient experiences. By staying agile, leveraging emerging technologies, and forming strategic partnerships, HIMS can continuously innovate and meet the evolving needs of its customers in the dynamic healthcare landscape.

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